Please check the examination details below before entering your candidate information

| Candidate surname | Other names |
|---|---|
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Centre Number | Candidate Number

# Pearson Edexcel International GCSE

**Time** 2 hours

**Paper reference** **4AC1/01**

# Accounting

## Level 1/2
## PAPER 1: Introduction to Bookkeeping and Accounting

**You do not need any other materials.**

Total Marks

## Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided
  – *there may be more space than you need.*
- Calculators may be used.

## Information

- The total mark for this paper is 100.
- The marks for **each** question are shown in brackets
  – *use this as a guide as to how much time to spend on each question.*

## Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

*Turn over* ▶

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Q:1/1/1/1/

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## SECTION A

**Answer ALL questions. Write your answers in the spaces provided.**

**For questions 1–10, choose an answer A, B, C or D, and put a cross in the box ☒.**
**If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.**

**1** Identify which is a current liability.

☒ **A** Cash in hand

☒ **B** Inventory

☒ **C** Trade receivables

☒ **D** Trade payables

**(Total for Question 1 = 1 mark)**

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**2** Identify the book of original entry in which irrecoverable debts are recorded.

☒ **A** Cash book

☒ **B** Journal

☒ **C** Purchases day book

☒ **D** Sales day book

**(Total for Question 2 = 1 mark)**

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**3** Identify in which book of original entry a credit note received by a trader would be recorded.

☒ **A** Purchases day book

☒ **B** Purchases returns day book

☒ **C** Sales day book

☒ **D** Sales returns day book

**(Total for Question 3 = 1 mark)**

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**4** Identify the type of error when a sales invoice for $500 is entered in the sales day book as $450.

- ☒ **A** Commission
- ☒ **B** Compensating
- ☒ **C** Original entry
- ☒ **D** Principle

**(Total for Question 4 = 1 mark)**

**5** Identify what will be confirmed by preparing a trade payables ledger control account.

- ☒ **A** All purchase invoices have been posted
- ☒ **B** All supplier payments have been processed
- ☒ **C** Entries have been posted to the correct personal accounts
- ☒ **D** The closing balance agrees with the total of individual balances

**(Total for Question 5 = 1 mark)**

**6** Identify the main purpose of providing depreciation on non-current assets.

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To provide funds for the replacement of the asset
- ☒ **C** To show the market value of the asset
- ☒ **D** To spread the cost of the asset over its useful life

**(Total for Question 6 = 1 mark)**

**7** Identify the accounting concept being described.

"Financial statements can record only information that has a monetary value"

- ☒ **A** Business entity
- ☒ **B** Materiality
- ☒ **C** Money measurement
- ☒ **D** Prudence

**(Total for Question 7 = 1 mark)**

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**8** Identify the effect on profits if revenue expenditure is treated as capital expenditure.

☒ **A** Gross profit overstated

☒ **B** Gross profit understated

☒ **C** Profit for the year overstated

☒ **D** Profit for the year understated

**(Total for Question 8 = 1 mark)**

**9** Identify the principle of professional ethics being described.

"Accountants must make their own judgements on the accounts"

☒ **A** Confidentiality

☒ **B** Integrity

☒ **C** Objectivity

☒ **D** Professional behaviour

**(Total for Question 9 = 1 mark)**

**10** Identify the double entry to record goods taken for personal use by a trader.

| | Account to be debited | Account to be credited |
|---|---|---|
| ☒ **A** | Drawings | Purchases |
| ☒ **B** | Drawings | Sales |
| ☒ **C** | Purchases | Drawings |
| ☒ **D** | Sales | Drawings |

**(Total for Question 10 = 1 mark)**

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**11** Identify the source document for **each** transaction.

| Transaction | Source document |
|---|---|
| Returned goods to a credit supplier | |
| Purchased refreshments for the office | |
| Received bank interest | |
| Purchased a non-current asset on credit | |
| Received a cheque from a credit customer | |

**(Total for Question 11 = 5 marks)**

**12** (a) State **one** difference between the objectives of private sector organisations and public sector organisations.

**(2)**

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(b) Identify **three** stakeholders that may have an interest in the financial statements of a private sector organisation.

**(3)**

1 .....

2 .....

3 .....

**(Total for Question 12 = 5 marks)**

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**13** (a) State **one** accounting concept applied when making a provision for irrecoverable debts.

**(1)**

(b) State **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

**(2)**

(c) Identify, indicating with a tick (✓), in which section of the financial statement each would appear.

**(2)**

| | **Income statement** | | **Statement of financial position** | |
|---|---|---|---|---|
| | **Income** | **Expenses** | **Current assets** | **Current liabilities** |
| Decrease in provision for irrecoverable debts | | | | |
| Balance of provision for irrecoverable debts account | | | | |

**(Total for Question 13 = 5 marks)**

**TOTAL FOR SECTION A = 25 MARKS**

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## SECTION B

**Answer ALL questions. Write your answers in the spaces provided.**

**14** A trader provided the following balances at 31 March 2022.

(a) Prepare the trial balance, entering **any** difference in the suspense account.

(8)

**Trial Balance at 31 March 2022**

| | $ | Debit $ | Credit $ |
|---|---|---|---|
| Bank loan | 1 300 | | |
| Bank overdraft | 810 | | |
| Carriage inwards | 630 | | |
| Drawings | 12 810 | | |
| Equity | 12 380 | | |
| General expenses | 9 250 | | |
| Inventory at 1 April 2021 | 21 250 | | |
| Irrecoverable debts | 390 | | |
| Motor vehicles – Cost | 14 900 | | |
| Motor vehicles – Provision for depreciation | 8 940 | | |
| Purchases | 69 220 | | |
| Sales | 112 100 | | |
| Trade payables ledger control | 8 230 | | |
| Trade receivables ledger control | 15 420 | | |
| Suspense | | | |
| Totals | | | |

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After preparing the trial balance, **three** errors were discovered.

- The sales account had been undercast by $200
- A payment of $218 to Johann, a credit supplier, had been entered in the bank account correctly but had been posted to Johann's account as $128
- A cheque received of $130 from C Green, a credit customer, had been credited to the bank account and debited to the account of V Green.

(b) Prepare journal entries to correct the errors. Narratives are **not** required.

**(7)**

**Journal**

| Date 2022 | Details | Debit $ | Credit $ |
|---|---|---|---|
| Mar 31 | | | |
| | | | |
| | | | |
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**(Total for Question 14 = 15 marks)**

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**15** Martina, a retailer, maintains a full set of accounting records.

On 1 April 2022, Martina owed Rafa $640 for goods supplied.

During April 2022, the following transactions took place between Martina and Rafa.

| April 2022 | Transaction |
|---|---|
| 12 | Purchased goods, list price $850, less a trade discount of 20% |
| 19 | Returned goods, list price $100, from the order received on 12 April 2022 |
| 29 | Paid the balance owing at 1 April 2022 by credit transfer after taking a cash discount of 5% |

(a) State the book of original entry for **each** transaction.

**(3)**

| April 2022 | Book of original entry |
|---|---|
| 12 | |
| 19 | |
| 29 | |

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(b) (i) Prepare the account of Rafa for the month of April 2022. Balance the account on 30 April 2022 and bring the balance down on 1 May 2022.

**(6)**

**Rafa Account**

| Date 2022 | Details | $ | Date 2022 | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
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(ii) State in which section of the statement of financial position at 30 April 2022 the balance of Rafa's account would appear.

**(1)**

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Martina currently offers only cash sales and proposes to offer credit terms to her customers.

(c) Evaluate whether Martina should proceed with this proposal.

**(5)**

**(Total for Question 15 = 15 marks)**

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**16** (a) State **two** advantages of preparing a bank reconciliation statement.

**(2)**

1 .....

2 .....

On 28 February 2022 Nabil's bank statement showed a credit balance of $135
On the same date the cash book showed a credit balance of $180

The following had not been entered in the cash book:

- a direct debit for telephone, $42
- a dishonoured cheque from Barjey Ltd, $668
- a credit transfer from BX Trading, $475
- cash sales banked, $295
- cheque drawn for cash, $120

(b) (i) Prepare the updated cash book to show the adjusted balance on 28 February 2022, bringing the balance down on 1 March 2022.

**(6)**

**Cash Book - Bank Column**

| Date 2022 | Details | $ | Date 2022 | Details | $ |
|---|---|---|---|---|---|
| Feb 28 | | | Feb 28 | | |
| | | | | | |
| | | | | | |
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At 28 February 2022 the following had not yet been processed by the bank:

- unpresented cheques, $562
- outstanding lodgements, $187

(ii) Prepare a bank reconciliation statement at 28 February 2022.

**(6)**

**Bank reconciliation statement at 28 February 2022**

| | $ |
|---|---|
| | |
| | |
| | |
| | |
| | |

(c) State in which section of the statement of financial position at 28 February 2022 the bank balance would appear.

**(1)**

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**(Total for Question 16 = 15 marks)**

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**17** (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

| | **Capital expenditure** | **Revenue expenditure** |
|---|---|---|
| Delivery cost | | |
| Motor insurance | | |

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

| | $ |
|---|---|
| Motor vehicles – cost | 68 000 |
| Motor vehicles – provision for depreciation | 18 240 |

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

**(1)**

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(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

**(4)**

**Provision for Depreciation - Motor Vehicles Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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(f) Prepare the disposal account.

**(4)**

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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**(Total for Question 17= 15 marks)**

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**18** Lucas provided the following information for the month ended 31 March 2022.

| | $ |
|---|---|
| Trade receivables ledger balances at 1 March 2022 | 48220 |
| Trade receivables ledger balances at 31 March 2022 | 47830 |
| Cash sales | 8300 |
| Contra/set off to trade payables ledger | 270 |
| Credit customer's cheque dishonoured | 360 |
| Credit sales | 41480 |
| Discount allowed | 410 |
| Discount received | 120 |
| Irrecoverable debts | 1930 |
| Receipts from credit customers | 38590 |
| Returns inwards | 1030 |
| Returns outwards | 1950 |

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(a) Prepare the trade receivables ledger control account for the month ended 31 March 2022. Balance the account on this date and bring the balance down on 1 April 2022.

(8)

**Trade Receivables Ledger Control Account**

| Date 2022 | Details | $ | Date 2022 | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
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(b) State **two** reasons why a customer's cheque may be dishonoured by the bank.

(2)

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2 .....

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Lucas is proposing to change from a manual system to a computerised system of bookkeeping.

(c) Evaluate whether Lucas should proceed with this proposal.

**(5)**

**(Total for Question 18 = 15 marks)**

**TOTAL FOR SECTION B = 75 MARKS**
**TOTAL FOR PAPER = 100 MARKS**

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